Audit Opinions and Next-Year Big 4 Client Transitions

Signal	Difference (SE)	p	95% CI	N
Panel A: Current Big 4 clients (next-year exit)				
MAO	30.399 (7.348)	< 0.001	[15.963, 44.835]	3,877
GC	20.619 (10.138)	0.042	[0.701, 40.536]	3,877
Violation announcement	2.919 (6.633)	0.660	[-10.112, 15.950]	3,877
Unwarned any failure	5.119 (5.117)	0.318	[-4.935, 15.173]	3,877
Panel B: Current non-Big-4 clients (next-year entry)				
MAO	-0.249 (0.121)	0.039	[-0.485, -0.012]	60,917
GC	0.119 (0.196)	0.544	[-0.265, 0.502]	60,917
Violation announcement	-0.213 (0.146)	0.145	[-0.499, 0.073]	60,917
Unwarned any failure	0.043 (0.127)	0.738	[-0.207, 0.292]	60,917

Notes: Percentage points. Panel A reverses the next-Big-4 coefficient to report exit; Panel B reports entry. Strictly adjacent observed years; no next observation is not counted as exit. Original failure controls and missing flags, firm and industry-year FE, firm-clustered SE. Panel A: 516 firms; Panel B: 5,125 firms. These are conditional associations, not identified auditor-initiated resignations.